

Working in China

How to Start a Business in China as a Foreigner

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How to Start a Business in China as a Foreigner

China's startup ecosystem is booming. Here's how to legally establish and run a business as a foreign national.

Business Structures Available:

- * Wholly Foreign-Owned Enterprise (WFOE)
 - * -- 100% foreign ownership, most common choice
- * Joint Venture (JV)
 - * -- Partnership with Chinese company, required in some sectors
- * Representative Office
 - * -- Limited activities, cannot generate revenue directly

WFOE Registration Process:

1. Name Pre-approval

-- Reserve your company name at the local Administration for Market Registration. Takes

1-3 days.

2. Submit Registration Documents

-- Articles of association, investor identification, registered capital declaration, office lease agreement. Processing: 3-5 working days via the e-registration platform.

3. Obtain Business License

-- Once approved, receive your unified social credit code and business license.

4. Post-Registration

-- Open bank account, register for tax, set up company chops (seals), register with customs if importing/exporting.

Tax Benefits in Free Trade Zones:

* Corporate income tax: 15% (vs. standard 25%) in qualifying zones

* Simplified customs procedures

* Relaxed foreign investment restrictions in many sectors

* Available in Shanghai, Shenzhen, Hainan, and 21+ other locations

Government Support for Startups:

* Innovation grants up to ¥500,000 for qualifying tech startups

* Rent subsidies for incubator/accelerator spaces

* High-tech enterprise tax rate: 15% (vs. 25%)

* Talent attraction programs with housing subsidies

Sources: Sources: [Ministry of Commerce](http://www.mofcom.gov.cn) • [State Taxation Administration](http://www.chinatax.gov.cn)

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Community Topics Guide

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